

seem, these human touches in a now giant enterprise will, I'm certain, help to preserve the legacy I've tried to create.

Rule 8: A Reminder—Loyalty Is a Two-Way Street

Rare is the high-ranking corporate officer who doesn't call on his or her workforce to display loyalty, but too many managers stop there. The best leaders, however, make certain they give loyalty back in equal measure. As I told our crew back in 1988, "It is really incredible that it has taken most American companies so long to realize that it is simply *not right* to ask those who do the daily work to be loyal to the corporation without making the same commitment, with the same fervor, that the corporation will be loyal to them in return. And that concept of two-way loyalty must itself become a Vanguard tradition."

Talk without action is hollow and meaningless. So once Vanguard reached a solid financial footing in the early 1980s, we acted to demonstrate the firm's loyalty to its crew. Through the Vanguard Partnership Plan, each and every member of our crew, from the moment of signing on, shares in the rewards we generate for our shareholders. I know of no other company in which every member of the workforce—without putting up one cent of capital—shares in its earnings.

These earnings are derived from: (1) our low-cost advantage (that is, our fund expense ratios relative to those of our major competitors); (2) the extent to which our fund performance exceeds or falls short of the returns of our competitors; and (3) the size of our asset base. So as our cost advantage has increased, as the returns of our funds have exceeded those of their peers, and as our assets have grown, our earnings have grown—substantially! Each crew member holds a specific number of partnership units, which we increase with years of service and job grade level, and each June receives a check that, with some significant exceptions, typically comes to 30 percent of a crew member's annual compensation. (The plan's provisions are proprietary.)